Japan (TOPIX) Activist Screen — 10 Structurally Sound, Mis-managed Mid-caps

Event-driven / value lens · Mkt cap US$0.2–5bn · ND/EBITDA <1x or net cash · No >40% holder · 3–5Y TSR below TOPIX (and, where possible, sector) · Fixable issues · Prices at 13 Oct 2026 close, LTM to Jun-26 · USDJPY 157.5

Bottom line

- **Best risk/reward:** Yamaha, House Foods and Hakuhodo DY — quantifiable value gaps (30–69% of market cap in cash, securities or listed stakes) at under-earning franchises with no controlling holder; Yamaha is also the most winnable (75%-independent board, no family, ~30% foreign).
- **Operational cases:** Nihon Kohden (6.7% EBIT margin vs 19% at same-market rival Fukuda Denshi), Lion (7.6% vs 11–12% peers) and Ito En (4.7% vs 8.9%) — margin repair worth 30–90% of market cap if delivered.
- **Event-driven overlays:** House (Ichibanya strategic review, PE interest), Ito En preferred (1:1 conversion on any take-private), Koito (Toyota selling down to its 20% floor), Nihon Kohden (Paramount Bed MBO precedent).
- **Watch the friendly funds:** Japan Activation Capital is now a contractual management partner at Lion (4.5%) and Nihon Kohden (6.5%); Ezaki Glico already has Dalton/NAVF (~10–11.5%) — join or differentiate, don't collide.
- **Screen discipline:** all ten trail TOPIX TR over both 3Y (by 33–118pp) and 5Y (by 83–181pp). Yamaha, Hakuhodo DY, Ito En, Koito and House (narrowly on 3Y) also trail their sector on both windows; Stanley and Nihon Kohden on one; Lion, Ezaki Glico and Santen beat weak sector medians and are included on index underperformance plus a clear fixable issue (flagged on their pages).
- **Common playbook:** every name trails TOPIX TR (+129% over 5Y) by 83–181pp. The ask is usually the same three parts: buyback or tender funded by excess cash and cross-holding sales; exit of subscale or loss-making units; board independence and ROE/TSR-linked pay.

Ranked target list (conviction = size of the value gap × fixability × odds of winning the vote)

#	Company (ticker)	Mkt cap US$bn	TSR 3Y / 5Y co | sector | TOPIX	EV/EBITDA co vs peers	ND/ EBITDA	Cash+sec. % mkt cap	Primary fixable issue	Support	Activist / holder flag
1	Yamaha Corp (7951)	3.38	3Y −6% | +2% | +90% 5Y −43% | +10% | +129%	8.1x vs 9.6x	−2.0x	30–35%	Excess capital + loss-making non-core units; 7.8% margin vs 13.5% own target; ROE < CoE	Med–High	None. No family; 75% independent board
2	House Foods (2810)	2.36	3Y +41% | +42% | +90% 5Y +36% | +50% | +129%	10.0x vs 11.2x (core ~5x)	−2.6x	52% (69% incl. Ichibanya)	Parent-sub listing (51% of Ichibanya), cross-holdings, US Keystone & Vox Trading; ROE 2.5%	Med–Low	Family ~23%; Ichibanya review live (PE interest)
3	Hakuhodo DY (2433)	3.05	3Y +14% | +53% | +90% 5Y −17% | +10% | +129%	6.6x vs 6.6x	−1.7x (Mar)	36–54%	¥73.5bn policy stocks (½ broadcasters), SG&A bloat across ~385 subs, ROE 4%	Low–Med	Foundation-led bloc ~30%; Silchester 2%
4	Stanley Electric (6923)	2.77	3Y +57% | +38% | +90% 5Y +45% | +67% | +129%	6.1x vs 4.0x	−0.4x	26% (50% pre-deal)	P/B <1, ROE 7%; debt-funded Iwasaki deal, HQ cost +50%, Thai sub listing, cross-holdings	Medium	Honda 13.6%; Murakami 3.1%
5	Nihon Kohden (6849)	1.67	3Y −3% | +16% | +90% 5Y +2% | −9% | +129%	11.0x vs 10.2x	−1.25x	~12%	Opex 44% of sales: 6.7% EBIT vs Fukuda Denshi 19%; 15% target missed; idle cash	Medium	JAC 6.5% (mgmt partner); First Eagle 7.3%
6	Lion Corp (4912)	3.15	3Y +35% | +4% | +90% 5Y +7% | −9% | +129%	8.4x vs 10.2x (core)	−0.8x	~24%	7.6% core margin vs 11–12% peers; NE Asia at 1.6%; no buyback since 2024	Medium	JAC 4.5% (mgmt partner)
7	Koito Mfg (7276)	4.58	3Y +27% | +49% | +90% 5Y −9% | +45% | +129%	4.8x vs 3.7x	−2.8x	55%	¥395bn cash + securities; LiDAR/China write-offs; family dynasty without ownership	Med (capital) / Low (board)	Toyota 21% (seller to 20% floor); near US$5bn cap
8	Ito En (2593)	2.05	3Y −28% | +13% | +90% 5Y −53% | +13% | +129%	9.6x vs 7.6x	−0.3x	10%	Non-voting preferred at 43% discount; 4.7% margin vs 8.9% peers; loss-making vending	Low	Honjo family ~30%
9	Ezaki Glico (2206)	1.97	3Y +30% | +10% | +90% 5Y +34% | +30% | +129%	8.8x vs 7.6x	−1.7x	36% (40% incl. property)	Japan sales (~¥275bn) earn <1%, dairy loses ¥5–7bn; ERP fiasco; ROE 2.3%	Medium	Dalton/NAVF ~10–11.5% since 2024 — crowded
10	Santen Pharma (4536)	3.47	3Y +36% | +4% | +90% 5Y +27% | +10% | +129%	7.6x vs 6.6x	−0.7x	15%	~¥84bn impairments in 5 yrs; BD prioritised over buybacks; EYLEA cliff — strategic review case	Med–High	None. Silchester 8.6% (value long-only)

TSR: price change plus dividends, JPY; sector = median of named listed Japanese peers (see each page). TOPIX TR to 30-Sep-26: 1Y +33.9%, 3Y +89.7%, 5Y +128.7% (BlackRock iShares Core TOPIX factsheet). Cash+sec. = net cash plus investment securities.

How the list was built

- **Universe:** TOPIX constituents with market cap US$0.2–5bn (¥31–788bn at ¥157.5), excluding banks, insurers and REITs where EBITDA leverage is not meaningful.
- **Long list (40):** value/low-ROE, net-cash and cross-holding-heavy mid-caps across consumer, media, industrials, healthcare and autos, chosen for activist relevance.
- **Leverage test:** S&P Capital IQ LTM EBITDA and latest net debt — 35 of 40 pass. Failed: Nikon (2.1x), Shochiku (4.2x), Toda (2.7x), Kagome (1.7x), Tsumura (1.04x).
- **Performance test:** ProntoNLP 5-year market-cap change used as a first cut, then full TSR. Removed clear outperformers or re-rated names (THK +149%, Amada +107%, Brother +93%, Sega Sammy +79%, Kewpie +78%, Alps Alpine +77%, TV Asahi +68%, Anritsu +67%).
- **Deep dives (20 names):** TSR vs peers and TOPIX, peer-relative valuation and margins, shareholder registers and 5% filings, governance, 2025–26 events, and a draft campaign for each; 10 survived. Exclusions and reasons are below.

Screened out after review — and why

Company (ticker)	Why excluded	Still interesting as...
KOSE Holdings (4922)	Kobayashi family bloc ~40–42% in concert (three family associations, foundation, individuals) breaches the 40% cap, though no single holder >10%. Otherwise textbook: 5Y TSR −55%, 4.1% EBIT margin, cash + investments 37% of mkt cap, 19-year family CEO.	Family MBO candidate (P/B 1.1x, EV/Sales 0.8x)
Casio Computer (6952)	Re-rated in 2026: 1Y TSR +94%, 3Y +97% (≈TOPIX). New plan (May-26) targets ~100% total return and ROE >10%, pre-empting most asks.	Watch-list: ¥97bn net cash partly earmarked for M&A
Mabuchi Motor (6592)	5Y TSR +120% ≈ TOPIX TR and ahead of motor peers; DOE 5% floor, split and ¥19bn buyback already done; family bloc ~20%.	Net cash 27% of mkt cap + off-strategy M&A (Masudac food machinery)
Pigeon (7956)	Premium valuation (11.6x EV/EBITDA, 3.0x P/B); TSR in line with its sector; 50%-independent board with independent chair; JAC 3.5% friendly.	Buyback engagement only
Takara Holdings (2531)	ValueAct already 19%; Takara Bio taken private Jun-26 with debt (pro-forma ND/EBITDA ~1.6x); TSR beat TOPIX over 1Y and 3Y.	—
Hamamatsu Photonics (6965)	1Y TSR +52% on AI-driven upgrades; 33x EV/EBIT; thin net cash after buyback — operational case only.	—
Toyo Seikan (5901) · Fuji Corp (6134)	Strong outperformers (5Y TSR +298% / 1Y +215%); EV close to the US$5bn ceiling.	—
Calbee (2229)	Oasis already campaigning (7.3%, 2026 proposal); PepsiCo ~20% + family ~14%; excess cash only 6% of mkt cap.	Follow-on to Oasis
Noritz (5943)	Nippon Active Value Fund 10.6% with proposals at the 2025 and 2026 AGMs — crowded; US$0.63bn.	Strongest raw numbers in the screen (2.2% EBIT margin; cash + securities 80% of mkt cap)
Nippon Shinyaku (4516)	5Y mkt cap −62%, but driven by pipeline/patent risk — fails the 'structurally sound' test.	—
Nikon · Shochiku · Toda · Tsumura · Kagome	Net debt/EBITDA above 1x.	Nikon: SLM Solutions M&A write-down case if leverage falls
Brother · Amada · THK	Mkt cap above US$5bn and/or 5Y market-cap gains of +93% to +149%.	—
Kewpie · Alps Alpine · TV Asahi · Anritsu · Sega Sammy · Nippon Kayaku · Zeon · Toei · Ushio · Pilot	5Y market-cap gains of +32% to +79% plus recent re-ratings — weaker underperformance case; not deep-dived.	Toei: parent-sub listing (Toei Animation); Ushio: securities-heavy balance sheet

1 · Yamaha Corporation (7951 JT) Leisure products / musical instruments & audio **Conviction: High**

Price ¥1,209 · Mkt cap ¥531.8bn (US$3.38bn) · EV ¥429.8bn (US$2.73bn) · LTM sales ¥477.8bn, EBITDA ¥52.8bn, NI ¥32.0bn · Net cash ¥103.4bn (Jun-26)

Total shareholder return (JPY, dividends included)

TSR	1Y	3Y	5Y
Yamaha Corporation	**+27.1%**	**−5.9%**	**−42.8%**
Sector median	+20.5%	+1.6%	+10.3%
TOPIX TR	+33.9%	+89.7%	+128.7%

Peers: Roland, Kawai, Shimano, Casio, JVCKenwood.

Valuation, margins and leverage (LTM) vs peer median

Metric	Yamaha	Peer median
EV/Sales	0.90x	0.95x
EV/EBIT	11.6x	12.6x
EV/EBITDA	8.1x	9.6x
P/E	16.6x	24.0x
FCF yield	8.1%	3.5%
P/B	1.08x	1.74x
EBIT margin	7.8%	9.4%
EBITDA margin	11.1%	12.2%
ROE	6.5%	6.6%
Net debt/EBITDA	−1.96x (net cash)	−0.07x
Cash + securities / mkt cap	34.5%	—

Top 5 shareholders

Holder	%
Master Trust Bank of Japan (trust)	22.3%
Custody Bank of Japan (trust)	8.5%
Sumitomo Life Insurance	5.0%
Shizuoka Bank	4.9%
Nippon Life Insurance	3.4%

Register 31-Mar-26. #6 Yamaha Motor 3.2% (reciprocal). Beneficial: Nomura AM 8.4%, Amova/SMTB 6.2%, BlackRock 5.1%. Mix: financial institutions 47%, foreign 30%, individuals ~12%. No family, no >10% beneficial owner.

What an activist would say

- A global No.1 brand (pianos, wind instruments, digital mixers) earning a 7–8% core margin and 5–6% ROE, below its own 6.7% cost of equity; 5Y TSR −43% vs TOPIX TR +129%.
- Over-capitalised: ¥103bn net cash plus ~¥45bn of cross-holdings (~28% of mkt cap), 77% equity ratio, inventory at 34% of sales — yet the stock trades at 1.1x book.
- Serial disappointment is self-inflicted: China/Indonesia piano over-capacity (¥10.4bn impairments), impaired US guitar M&A (Line 6, Ampeg, Cordoba) and loss-making non-core units.

Most actionable changes

1. ¥100bn buyback over 12–18 months (~19% of mkt cap), funded by net cash and full exit of remaining cross-holdings (Yamaha Motor ~¥26bn, Shizuoka FG, banks); ≥100% total payout until equity ratio <65%.
2. Portfolio simplification: sell the loss-making 'Others' segment (auto wood interiors, FA equipment, resorts), run a sale process for Yamaha Guitar Group and consumer audio, shrink piano manufacturing further.
3. Working-capital and cost programme: inventory from 34% to ~25% of sales (~¥40bn cash release); pay tied to ROE > CoE and relative TSR.

Ease of winning top-shareholder support

Medium–High — No family or parent; ~30% foreign and ~31% trust-bank nominee holdings; 75%-independent board. Friendly life insurers/Shizuoka Bank/Yamaha Motor (~16.5%) are themselves under pressure to unwind cross-holdings. Capital-return resolutions should win; board seats harder.

Likely company defence

'Rebuild & Evolve' (13.5% margin, 10% ROE by FY3/28) is on track; ¥64bn already returned; cash needed for ¥65bn strategic investment and tariff uncertainty; Yamaha Motor stake protects the shared brand.

Activist angles

- **[Capital allocation]** ¥100bn buyback, cross-holding exit incl. reciprocal Yamaha Motor unwind
- **[Portfolio simplification]** Divest Others, Yamaha Guitar Group, consumer audio
- **[Governance]** Independent chair to replace the ex-CEO; ROE/TSR-linked pay
- **[M&A]** Clean, under-earning brand owner with no controller — plausible PE/strategic take-private

Governance and recent events

Three-committee company; 8 directors, 6 independent (75%). Chair is ex-CEO Nakata (2013–24), who presided over the missed 'Make Waves' targets (14% margin / 10% ROE vs 7.9% / 2.8% delivered in FY3/25). CEO Yamaura since Apr-24. No pill, no activist on record. ¥45bn of buybacks in 2025; sold half its Yamaha Motor stake in Aug-26.

2 · House Foods Group (2810 JT) Food products (curry roux, spices) **Conviction: High**

Price ¥4,207 · Mkt cap ¥371.9bn (US$2.36bn) · EV ¥318.7bn (US$2.02bn) · LTM sales ¥316.4bn, EBITDA ¥31.7bn · Net cash ¥83.1bn (Mar-26) · 51% of Ichibanya (7630 JT) worth ¥83.5bn

Total shareholder return (JPY, dividends included)

TSR	1Y	3Y	5Y
House Foods Group	**+49.3%**	**+40.8%**	**+35.6%**
Sector median	+19.9%	+42.0%	+49.7%
TOPIX TR	+33.9%	+89.7%	+128.7%

Peers: Kikkoman, Nissin, Kewpie, Ajinomoto (S&B est.).

Valuation, margins and leverage (LTM) vs peer median

Metric	House	Peer median
EV/Sales	1.01x	1.31x
EV/EBIT	17.6x	18.4x
EV/EBITDA	10.0x (core ~5x SOTP)	11.2x
P/E	34.8x (impairments)	22.7x
FCF yield	3.1%	2.5%
P/B	1.27x	1.91x
EBIT margin	5.7%	9.1%
EBITDA margin	10.0%	11.8%
ROE	3.7% LTM (2.5% FY3/26)	10.6%
Net debt/EBITDA	−2.6x (net cash)	—
Cash + securities (+Ichibanya) / mkt cap	52% (69%)	—

Top 5 shareholders

Holder	%
Master Trust Bank of Japan (trust)	9.6%
House Kosan (Urakami family)	9.3%
HKL Co. (Urakami family)	8.7%
Urakami Foundation	3.2%
Custody Bank of Japan (trust)	2.4%

Register 31-Mar-26. Family/affiliate bloc ~23%; relationship banks and insurers ~8%. Mix: individuals 35% (perk-driven), other corporates 33%, financial institutions 21%, foreign only 9.6%.

What an activist would say

- ~69% of the ¥372bn mkt cap is cash, securities and the listed Ichibanya stake; the core curry/spice franchise (No.1 in roux, 9.7% segment margin) is valued at ~5x EBITDA vs ~11x for food peers.
- A decade of empire-building — the 2015 Ichibanya TOB, US Keystone tofu/plant-based (two impairments), the cancelled Kentucky plant, Vox Trading (1.8% margin) — has produced a 2.5% ROE and 5Y TSR of +36% vs +129% for TOPIX TR.
- The May-26 reset proves management can move; the job now is to crystallise SOTP value rather than recycle it into new M&A.

Most actionable changes

1. Sell the 51% Ichibanya stake to the best bidder (≈¥82bn after tax at a 25% premium, ~22% of mkt cap) and return proceeds via tender offer — not a privatisation inside House.
2. Return excess capital beyond the ¥26bn programme and go to zero cross-holdings by Mar-28: ~¥150bn total return capacity (~40% of mkt cap, est.).
3. Exit Keystone/US soybean and Vox Trading, cut ¥3.8bn of unallocated HQ cost; ROE ≥10% by FY3/29 with pay linked to ROE/TSR.

Ease of winning top-shareholder support

Medium–Low — Family ~23% plus ~8% relationship holders and a 35% perk-driven retail base; foreign only 9.6%. Helped by no pill, trust-bank stewardship votes (~12%) and a board that has publicly conceded the capital-efficiency problem.

Likely company defence

'Already acting' (buyback, DOE 3%, Ichibanya review, cross-holding sales); cash needed for growth capex (Tohoku, Indonesia, Malaysia) and global spice M&A; don't disrupt the Ichibanya process or franchisee relationships.

Activist angles

- **[Portfolio simplification]** Sell Ichibanya, end the parent-sub listing; exit Keystone, Vox Trading
- **[Capital allocation]** Zero cross-holdings; tender offer funded by excess cash + Ichibanya
- **[Governance]** Majority-independent board and a capital-allocation committee
- **[M&A]** Family at only ~23% with ~69% of value liquid: natural MBO candidate

Governance and recent events

Family CEO Hiroshi Urakami since 2009 (~17 years); ~12 directors with 4–5 outside (est.). Poison pill abolished 2019. Parent-subsidiary listing of Ichibanya (51%). May-26 reset: 8th MTP targets withdrawn (OP ¥27bn → ¥17.5bn guidance), ¥26bn buyback, DOE ≥3%, three cross-holdings to be sold. 31-Aug-26: 'considering all options' for Ichibanya incl. privatisation; PE interest reported.

3 · Hakuhodo DY Holdings (2433 JT) Media / advertising agencies **Conviction: Medium–High**

Price ¥1,336 · Mkt cap ¥479.7bn (US$3.05bn) · EV ¥459.2bn (Jun-26; ¥372.8bn on Mar-26 net cash) · LTM revenue ¥867.4bn, gross profit ¥410.9bn, EBITDA ¥69.2bn · Net cash ¥120.2bn (Mar-26), ¥33.8bn (Jun-26, seasonal)

Total shareholder return (JPY, dividends included)

TSR	1Y	3Y	5Y
Hakuhodo	**+24.2%**	**+14.0%**	**−16.7%**
Sector median	+22.8%	+53.1%	+9.9%
TOPIX TR	+33.9%	+89.7%	+128.7%

Peers: Dentsu, CyberAgent, Septeni, Vector.

Valuation, margins and leverage (LTM) vs peer median

Metric	Hakuhodo	Peer median
EV/Sales	0.53x (gross-basis revenue)	1.00x
EV/EBIT	10.2x	7.4x
EV/EBITDA	6.6x	6.6x
P/E	28.5x (17.7x pre-GW)	14.8x
FCF yield	13.5% (adj. ~7%)	9.6%
P/B	1.25x	2.65x
EBIT margin	5.2% (11.0% of GP)	13.4%
EBITDA margin	8.0%	17.1%
ROE	4.4%	14.8%
Net debt/EBITDA	−1.74x (Mar) / −0.49x (Jun)	−1.27x
Net cash + securities / mkt cap	54% (Mar) / 36% (Jun)	—

Top 5 shareholders

Holder	%
Hakuhodo Educational Foundation	19.8%
Master Trust Bank of Japan (trust)	8.3%
Hakuseikai (general inc. association)	5.0%
Asahi Shimbun	3.1%
State Street Bank & Trust	3.1%

Register 31-Mar-26. Related/stable bloc ~30% (foundation, Hakuseikai, Fraternité 3.1%, ESOP 2.3%); ~36% incl. media cross-holders (Asahi Shimbun, NTV 2.4%). Silchester 2.0%. Mix: other corporates 40%, individuals 25%, foreign 18%, financial institutions 16%.

What an activist would say

- Japan's No.2 agency earns a 4% ROE: operating profit is 38% below its FY3/22 peak while gross profit grew, absorbed by ¥361bn of SG&A across ~385 subsidiaries.
- ¥180–260bn of non-operating assets (net cash plus ¥140bn of investment securities, half of it reciprocal broadcaster/client cross-holdings) = 36–54% of mkt cap.
- 5Y TSR −17% vs sector +10% and TOPIX TR +129%; a new CEO and new board structure are the moment to reset capital allocation.

Most actionable changes

1. Sell ≥¥50–60bn of the ¥73.5bn listed policy-stock book within 24 months, broadcasters first (~¥55bn net proceeds).
2. ¥60–80bn buyback (12–17% of mkt cap) over two years; replace the fixed ¥32 DPS with a ≥70% total-payout or DOE floor.
3. Margin programme: pre-goodwill OP/GP from 14% to ≥17% (each 1pt ≈ ¥4bn OP) by merging Hakuhodo/Daiko/Yomiko back offices, integrating Hakuhodo DY ONE with Digital Holdings, and reviewing subscale kyu (IDEO, Sid Lee) units.

Ease of winning top-shareholder support

Low–Medium — Foundation-led friendly bloc ~30% (≈36% with media cross-holders) means a binding resolution needs ~75% of the free float; but no family, 18% foreign and Silchester as a natural ally make a withhold/engagement campaign credible.

Likely company defence

Broadcaster stakes are 'media-buying access'; year-end cash is client working capital (¥79.5bn of deposits); ¥10bn buyback and 6.6% cancellation already done; pre-goodwill margin target met; new CEO needs time.

Activist angles

- **[Capital allocation]** Cross-shareholding unwind + large buyback; total-payout policy
- **[Portfolio simplification]** Collapse three agency brands' back offices; review kyu
- **[Governance]** Majority-independent board, refresh long-tenured directors, reported-ROE ≥10% target
- **[M&A]** Discipline after the over-paid, contested Digital Holdings TOB

Governance and recent events

Moved to Audit & Supervisory Committee structure at Jun-26 AGM; pre-AGM board 11 with 4 independents (36%), long-tenured outside directors. New CEO Nishiyama since Apr-26. No founding family, no pill, no activist. Listed policy holdings ¥73.5bn (15% of mkt cap), ~¥33bn in TV broadcasters (TBS, Fuji Media, TV Asahi, NTV) that hold Hakuhodo back. Won a contested TOB for Digital Holdings (Dec-25) only after raising price and cutting the minimum threshold.

4 · Stanley Electric (6923 JT) Automobile components (lighting) **Conviction: Medium–High**

Price ¥3,547 · Mkt cap ¥436.2bn (US$2.77bn) · EV ¥515.2bn (US$3.27bn) incl. ¥113bn minorities · LTM sales ¥544.5bn, EBITDA ¥84.2bn · Net cash ¥34.1bn (Jun-26, after ¥70bn Iwasaki loan; ¥106.1bn at Mar-26)

Total shareholder return (JPY, dividends included)

TSR	1Y	3Y	5Y
Stanley Electric	**+23.8%**	**+57.1%**	**+45.3%**
Sector median	+28.7%	+37.9%	+66.9%
TOPIX TR	+33.9%	+89.7%	+128.7%

Peers: Koito, Ichikoh, Tokai Rika, Nippon Seiki.

Valuation, margins and leverage (LTM) vs peer median

Metric	Stanley	Peer median
EV/Sales	0.95x	0.37x
EV/EBIT	12.0x	7.8x
EV/EBITDA	6.1x	4.0x
P/E	13.7x	12.6x
FCF yield	5.3%	10.2%
P/B	0.95x	0.70x
EBIT margin	7.9%	5.5%
EBITDA margin	15.5%	9.8%
ROE	6.9%	6.1%
Net debt/EBITDA	−0.40x (net cash)	−1.53x
Net cash + LT investments / mkt cap	26% (50% pre-Iwasaki)	—

Top 5 shareholders

Holder	%
Honda Motor	13.6%
Master Trust Bank of Japan (trust)	12.1%
Custody Bank of Japan (trust)	6.1%
Nippon Life Insurance	5.6%
State Street Bank & Trust	3.2%

Register 31-Mar-26. #6 City Index Eleventh (Murakami group) 3.1% — peaked at 6.05% in Mar-25. T. Rowe Price on register. Mix: foreign 31%, financial institutions 30%, other corporates 24%, individuals 10%.

What an activist would say

- The highest-margin franchise in Japanese auto lighting (15.5% EBITDA margin vs 9.8% peers) delivers 5Y TSR of +45% vs +129% TOPIX TR, ~7% ROE and 0.95x P/B.
- Capital discipline arrived only with Murakami — and was immediately followed by a ¥77bn debt-funded, non-auto acquisition (Iwasaki, ~¥53bn goodwill) while unallocated HQ cost rose ~50% to ¥14bn.
- A Honda white-squire stake, minority-independent board, bank cross-holdings and a listed Thai subsidiary keep capital trapped.

Most actionable changes

1. Exit all policy holdings (¥40–60bn saleable, est.) — not just to 10% of net assets — and run a further ¥50–60bn buyback (12–14% of mkt cap) once the Iwasaki bridge is refinanced (ND/EBITDA ~0.5x); ROE +1.5–2pp.
2. Overhead programme: unallocated corporate cost from ¥14bn back to ~¥9bn (+¥5bn EBIT, ~¥60bn of value at 12x EV/EBIT).
3. Portfolio and structure: Iwasaki ROIC > WACC by FY3/28 or divest; review non-auto/applied-electronics (~14% of sales); resolve Thai Stanley listing (buy out or sell down).

Ease of winning top-shareholder support

Medium — Foreign 31% (incl. T. Rowe Price) plus ~18% passive trust banks give a majority-capable base on capital-return items; Nippon Life increasingly votes against low-ROE, sub-1x P/B boards; Murakami's 3.1% an ally; 2023 CEO vote showed dissent. Honda (13.6%) will back management on control.

Likely company defence

¥80bn buyback (17.6% of shares) already done; DOE 3.5%/40% payout and ROE ≥10% MTP; Iwasaki and the Mitsubishi Electric JV are growth platforms; Honda alliance is strategic; cross-holdings already being cut.

Activist angles

- **[Capital allocation]** Policy-holding liquidation + buyback; capex/D&A 1.3x needs returns discipline
- **[Portfolio simplification]** Iwasaki, non-auto segments, Thai Stanley parent-sub listing
- **[Governance]** Independent-majority board; related-party committee for Honda as holder/customer
- **[M&A]** Domestic lighting consolidation (Koito, Ichikoh Japan) — long shot given keiretsu ties

Governance and recent events

Audit & Supervisory Board company; 9 directors, 4 outside (44%) — minority-independent by the company's own admission. CEO Kaizumi since Apr-22; only 83.9% approval at 2023 AGM. Honda (largest holder and ~30% of sales, est.) via 2022 capital alliance. Policy holdings ~20% of net assets (target 10% by FY3/28). Listed Thai Stanley (~47% owned). Previous MTP missed every target (ROE 7.0% vs 8%; OPM 8.2% vs 10.5%).

5 · Nihon Kohden (6849 JT) Health-care equipment (patient monitors, ECG, AEDs) **Conviction: Medium–High**

Price ¥1,648.5 · Mkt cap ¥263.7bn (US$1.67bn) · EV ¥236.8bn (US$1.50bn) · LTM sales ¥232.5bn, EBIT ¥15.5bn, EBITDA ¥21.6bn · Net cash ¥27.0bn (Jun-26) · FY3/27 OP guide ¥23.5bn vs 15% OPM target (~¥35bn)

Total shareholder return (JPY, dividends included)

TSR	1Y	3Y	5Y
Nihon Kohden	**−2.4%**	**−3.1%**	**+1.9%**
Sector median	+8.6%	+15.5%	−8.8%
TOPIX TR	+33.9%	+89.7%	+128.7%

Peers: Fukuda Denshi (+63% / +119% / +165%), Terumo, Sysmex, Olympus.

Valuation, margins and leverage (LTM) vs peer median

Metric	Nihon	Peer median
EV/Sales	1.02x	2.18x
EV/EBIT	15.2x	15.3x
EV/EBITDA	11.0x	10.2x
P/E	19.4x (17.6x fwd)	23.8x
FCF yield	6.7%	4.5%
P/B	1.49x	2.20x
EBIT margin	6.7% (Fukuda 19.3%)	16.8%
EBITDA margin	9.3%	23.9%
ROE	7.7% (target 12%)	9.9%
Net debt/EBITDA	−1.25x (net cash)	+0.24x
Net cash + securities / mkt cap	~12%	1.5%

Top 5 shareholders

Holder	%
Master Trust Bank of Japan (trust)	14.7%
Custody Bank of Japan (trust)	5.0%
Saitama Resona Bank (cut to ~2.0% Sep-26)	4.9%
JPMorgan Chase Bank 380055 (omnibus)	4.9%
GIC Private Ltd (n/d)	<4.9%

Register 31-Mar-26. Beneficial (5% filings): First Eagle 7.3% (adding), Japan Activation Capital 6.5% of votes (new partner, Sep-26), Sprucegrove ~6.1% (selling), BlackRock 5.1%; ValueAct last 3.85% (May-25). Bank cross-holders exiting. Mix: foreign 44.5%, financial institutions 32%, corporates 3.8%.

What an activist would say

- Same market, half the margin: Nihon Kohden and Fukuda Denshi sell monitors, ECGs and AEDs to the same hospitals at similar gross margins, yet Fukuda earns 19% EBIT and +165% 5Y TSR vs Nihon Kohden's 6.7% and +2% (−127pp vs TOPIX TR).
- The gap is overhead: opex has risen 37% in five years to 43.8% of sales while operating profit fell 31% and headcount grew 11% — and the 15% FY3/27 margin target is now guided at 10% after a Q1 loss.
- Idle balance sheet and unproductive M&A: ¥27bn net cash plus ~¥18bn/yr FCF against a ≥35% return floor; ~¥22bn of US acquisitions with North America at a 5% margin.

Most actionable changes

1. Opex reset to the company's own 38% KPI by FY3/28 — release (not redeploy) the Abbott-era sales/service capacity, consolidate branches, freeze hiring; at 55.5% gross margin that implies ~17% OPM (~¥40bn OP vs ¥23.5bn guided).
2. ¥30bn buyback over 12–18 months (~11% of shares, ~13% EPS accretion) and a ≥100% total return until ROE >12%; cancel ~7m treasury shares.
3. North America margin plan (≥10% by FY3/29) or partner/sell subscale units (OrangeMed, Defibtech); board-supervised review of alternatives incl. take-private (Paramount Bed MBO precedent).

Ease of winning top-shareholder support

Medium — 44.5% foreign; value long-onlys First Eagle (adding) and Sprucegrove (selling, fatigued); bank cross-holders exiting; no family block or parent. But JAC's new 6.5% management partnership and a majority-independent board mean buyback/return proposals win, a CEO challenge only if FY3/27 misses.

Likely company defence

FY3/27 is a transition year (gross margin to 55.5% post-Abbott, 90% of reform 'locked in', Phase III plan in May-27); ¥15bn of buybacks in two years; cash needed for US growth/M&A and tariff-driven US manufacturing; Japanese hospital finances are the problem; JAC partnership is the value-up engagement.

Activist angles

- **[Capital allocation]** ¥30bn buyback; ≥100% total return; explicit net-cash ceiling
- **[Portfolio simplification]** NA margin plan or partial exit; exit low-margin distributed products
- **[Governance]** CEO succession after 11 years of flat TSR; remove 10%-OPM pay cliff
- **[M&A]** Moratorium on overseas deals; strategic review incl. take-private

Governance and recent events

Audit & Supervisory Committee company; 11 directors, 6 outside (55%), incl. ex-Terumo chairman Mimura (Jun-26). CEO Ogino since 2015 (~11 years; reportedly of the founding family, unverified); ~98% approval 2025. No pill, no parent. Phase II plan: OPM 15%, ROE 12% in FY3/27 — guidance now 10%, Q1 FY3/27 an operating loss; FY3/26 guide cut and still missed. Abbott distribution ends Dec-26. Return floor only ≥35% total payout; no FY3/27 buyback. JAC partnership signed 10-Sep-26.

6 · Lion Corporation (4912 JT) Household & personal products (oral care, detergents) **Conviction: Medium**

Price ¥1,793.5 · Mkt cap ¥496.3bn (US$3.15bn) · EV ¥470.5bn (US$2.99bn) · LTM sales ¥439.5bn, core OP ¥33.5bn, core EBITDA ~¥56bn · Net cash ¥51.6bn (Jun-26)

Total shareholder return (JPY, dividends included)

TSR	1Y	3Y	5Y
Lion Corporation	**+19.0%**	**+34.8%**	**+6.9%**
Sector median	+17.5%	+4.2%	−9.3%
TOPIX TR	+33.9%	+89.7%	+128.7%

Peers: Kao, Unicharm, Kobayashi, Earth, Rohto.

Valuation, margins and leverage (LTM) vs peer median

Metric	Lion	Peer median
EV/Sales	1.07x	1.77x
EV/EBIT (core)	14.1x	14.6x
EV/EBITDA (core)	8.4x	10.2x
P/E	17.2x LTM / 19.8x fwd	24.1x
FCF yield (FY25)	4.3%	4.5%
P/B	1.49x	2.08x
EBIT margin (core)	7.6%	11.1%
EBITDA margin (core)	12.8%	14.5%
ROE	8.7%	7.9%
Net debt/EBITDA	−0.83x (net cash)	−0.70x
Cash + securities / mkt cap	~24%	16.9%

Top 5 shareholders

Holder	%
Master Trust Bank of Japan (trust)	13.9%
Custody Bank of Japan (trust)	10.2%
Japan Activation Capital (JAC)	4.5%
Mizuho Trust – retirement trust (Mizuho Bank)	3.0%
State Street Bank & Trust	2.5%

Register 31-Dec-25. Nomura AM 5.5% (Nov-25 filing). Meiji Yasuda 1.3%, DNP 1.1% (reciprocal). 274k shareholders — very large perk-driven retail base. No controlling or >10% strategic holder.

What an activist would say

- Japan's No.1 oral-care franchise (Clinica, Systema) earns a 7.6% core margin vs ~11–12% at Kao, Unicharm and Rohto; operating income still below its FY20 peak.
- ~¥120bn (~24% of mkt cap) sits in cash, time deposits, 15 listed cross-holdings and equity stakes, yet there has been no buyback since 2024 — cash has gone to bolt-on M&A.
- Subscale, low-return pieces remain: North-East Asia (¥68bn sales at a 1.6% margin), residual industrial chemicals (5%) and a loss-making engineering arm; trades at 8.4x core EV/EBITDA and 1.5x book vs 10.2x and 2.1x for peers.

Most actionable changes

1. ¥50bn buyback over 2026–27 (~10% of shares, ~11% EPS accretion) funded by ~¥77bn of net cash/time deposits and sale of all ¥16.8bn listed policy holdings; adopt ROE ≥12% by 2028.
2. Sell or JV North-East Asia (China, Korea) and exit residual industrial products and Lion Engineering (~¥30–50bn, est.); focus on Japan + SE Asia oral/personal care.
3. Core margin to 10% by 2028 (~+¥10bn OP, ~¥100bn of EV at peer multiples) via SKU pruning, Japan SG&A (~39% of sales) and price/mix; real-estate review of Tokyo sites carried at cost.

Ease of winning top-shareholder support

Medium — No controller or >10% strategic holder; custody/index and Nomura AM likely back capital-efficiency asks; outside-chaired board is open to dialogue. Against: JAC (4.5%) is contracted to management, huge retail base and stable bank/insurer/partner holders lean to management.

Likely company defence

2nd STAGE plan on track (EBITDA margin +1.1pt in H1-26), portfolio reform already under way (chemicals sale, Sukin, Vietnam), cash earmarked for ~¥50bn growth/oral-care M&A, buybacks 'flexible', and JAC already brings an outside value-creation view.

Activist angles

- **[Capital allocation]** ¥50bn buyback, ROE ≥12%, exit ¥16.8bn listed cross-holdings
- **[Portfolio simplification]** Exit NE Asia, industrial products, engineering
- **[Governance]** Majority-independent board; disclose JAC agreement; ROE/TSR-weighted LTIP
- **[M&A]** Hurdle-rate discipline after ~¥32bn of bolt-ons at undisclosed returns

Governance and recent events

11 directors, 5 outside (45%); outside chair since Mar-25; CEO Takemori since Mar-24. JAC (management-friendly engagement fund) signed a partnership in Oct-24 and has made no proposals. No buyback in 2025–26; ~¥32bn of bolt-on M&A instead (Vietnam's Merap Lion, Australia's Sukin). Sold specialty chemicals to Advantage Partners (Feb-26). Vision2030 2nd STAGE targets EBITDA margin >13% and ROIC 8–9% by 2027 — no ROE target.

7 · Koito Manufacturing (7276 JT) Automobile components (lighting) **Conviction: Medium**

Price ¥2,748.5 · Mkt cap ¥721.2bn (US$4.58bn) · EV ¥490.3bn (US$3.11bn) · LTM EBITDA ¥102.4bn · Net cash ¥288.0bn + LT investments ¥106.9bn (Jun-26) · Treasury stock 16% of issued, uncancelled

Size flag: mkt cap ~US$4.5–4.6bn sits ~9–11% below the US$5bn ceiling — a successful campaign re-rates it out of the band.

Total shareholder return (JPY, dividends included)

TSR	1Y	3Y	5Y
Koito	**+26.8%**	**+26.5%**	**−8.8%**
Sector median	+24.4%	+49.4%	+45.3%
TOPIX TR	+33.9%	+89.7%	+128.7%

Peers: Stanley Electric, Ichikoh (Valeo 61%), Nippon Seiki, Tokai Rika, Toyota Boshoku.

Valuation, margins and leverage (LTM) vs peer median

Metric	Koito	Peer median
EV/Sales	0.51x	0.34x
EV/EBIT	8.7x (8.2x fwd)	6.8x
EV/EBITDA	4.8x	3.7x
P/E	34.2x LTM (impairments) / 18.3x fwd	13.7x
FCF yield	6.3%	14.2%
P/B	1.15x	0.75x
EBIT margin	5.8% (12.3% in FY3/19)	5.4%
EBITDA margin	10.6%	9.0%
ROE	3.4% LTM (target 9%)	6.9%
Net debt/EBITDA	−2.81x (net cash)	−0.97x
Net cash + LT investments / mkt cap	55%	42%

Top 5 shareholders

Holder	%
Toyota Motor	21.0%
Master Trust Bank of Japan (trust)	10.7%
State Street Bank & Trust 505001	5.1%
Goldman Sachs International	4.4%
Nippon Life Insurance	3.7%

Register 31-Mar-26 (ex-treasury). Toyota sold 9.15m shares into Koito's Oct-25 buyback but keeps ≥20% for equity-method status. Stable bloc ~33% (Toyota, life insurers, SMBC 2.1%, Nichia 1.5%). Mix ex-treasury: foreign ~33%, financial institutions ~32%, corporates ~27%.

What an activist would say

- Massively over-capitalised: ¥395bn of net cash and securities = 55% of mkt cap, ~¥128bn above the company's own two-months-of-sales cash floor; net cash stuck at ¥270–300bn for six years despite ¥133bn of buybacks; ROE 3.4%.
- Margins halved under the same leadership (OPM 12.3% → 5.4%) while cash went to the wrong places: Cepton LiDAR (¥14.3bn write-off and ~¥9.6bn annual losses within 15 months), an over-built China footprint (sales halved, ¥7.2bn impairment) and a 1.1%-margin Americas segment. 5Y TSR −9% vs sector +45%.
- Governance is the root cause: a 19-year family dynasty with no ownership, a paid ex-chairman adviser running the largest subsidiary, a minority-independent board and 27.5% of votes against the President in 2026.

Most actionable changes

1. ¥150bn self-tender (~21% of shares), cancel ~50m treasury shares and sell the ~¥107bn securities book over 24 months: EPS +21%, ROE 6.3% → 8%+; structured so Toyota can tender ~¥40bn and stay at 20%.
2. Exit Cepton/LiDAR (+~1pt of group OPM), consolidate three China plants into one or a JV, sell non-auto electrical equipment and fix the Americas margin — a credible path to the 8% MTP margin (~+¥15bn OP).
3. Majority-independent board with an independent chair; end dynastic executive and paid-adviser roles; ROIC-gated capital-allocation framework with a hard cash cap; pay on ROE/ROIC/relative TSR.

Ease of winning top-shareholder support

Medium (capital return) / Low (board) — Foreign ~33% and trust-bank accounts reachable; 2026 vote shows dissent; Toyota wants liquidity and insurers/banks are unwinding. But a ~33% stable bloc blocks special resolutions and makes board seats hard; Toyota won't destabilise a key supplier.

Likely company defence

Already returning ¥350bn over five years (¥50bn/yr buybacks, ≥40% payout, cross-holding sales); FY3/26 impairments 'cleaned up' LiDAR and China, FY3/27 OP +17%; cash needed for ADAS, India/Mexico/Brazil capacity and supply-chain risk; OEMs expect a financially robust Tier-1.

Activist angles

- **[Capital allocation]** ¥150bn tender + treasury cancellation + securities sell-down; cash cap
- **[Portfolio simplification]** Exit LiDAR, consolidate China, sell non-auto; resolve Ta Yih listing
- **[Governance]** End the Otake dynasty's executive/adviser roles; independent chair
- **[M&A]** Strategic review: Toyota as buyer of the 79% or seller of its 21% amid global lighting consolidation

Governance and recent events

13 directors, 5 independent (38%), kansayaku structure. Otake family has held the top job ~19 years (Chairman & CEO Masahiro Otake) with ~0% ownership; former chairman Takashi Otake is a ¥102m paid adviser and CEO of the largest subsidiary (North American Lighting). 2026 AGM: President 72.5%, Chairman 83.1%. Auditor rotated to Deloitte. 1st MTP (OPM 8%, ROE 9%) will be missed. ¥50bn/yr buybacks via ToSTNeT-3. Taiwan-listed Ta Yih consolidated at 33%. History: T. Boone Pickens held 20%+ in 1989 and was refused a board seat.

8 · Ito En (2593 JT (pref. 25935 JT)) Beverages (green tea, Tully's Coffee) **Conviction: Medium**

Common ¥3,178; preferred ~¥1,800 (est.) · Total mkt cap ¥323.6bn (US$2.05bn; common ¥268.0bn + pref ¥55.6bn) · EV ¥315.8bn · LTM sales ¥502.2bn, EBITDA ¥32.9bn · Net cash ¥9.6bn (Apr-26), net debt ¥10.7bn (Jul-26, seasonal)

Total shareholder return (JPY, dividends included)

TSR	1Y	3Y	5Y
Ito En	**−1.6%**	**−27.9%**	**−52.5%**
Sector median	+19.5%	+13.1%	+13.2%
TOPIX TR	+33.9%	+89.7%	+128.7%

Peers: Kirin, Suntory Beverage & Food, Coca-Cola Bottlers Japan, DyDo, Asahi.

Valuation, margins and leverage (LTM) vs peer median

Metric	Ito	Peer median
EV/Sales	0.63x	0.76x
EV/EBIT	13.4x	10.4x
EV/EBITDA	9.6x	7.6x
P/E	75x LTM / 28.3x fwd	15.3x
FCF yield	0.0%	4.7%
P/B	1.84x	1.47x
EBIT margin	4.7%	8.9%
EBITDA margin	6.5%	12.8%
ROE	2.4%	5.4%
Net debt/EBITDA	−0.29x (Apr) / +0.32x (Jul)	—
Net cash + securities / mkt cap	10% (30% gross)	—

Top 5 shareholders

Holder	%
Green Core (Honjo family company)	19.7%
Master Trust Bank of Japan (trust)	~7.7%
Honjo International Scholarship Foundation	~5.9%
Hachiro Honjo (co-founder)	2.7%
Custody Bank / employee association	~2.0%

Combined common + preferred, Apr-26 (approx., aggregator-based). Honjo family bloc ~30% economic / 28–32% of votes. Common mix: individuals 37%, other corporates 34%, financial institutions 14%, foreign 13.7%. Preferred holders (27% of economic shares) have no vote.

What an activist would say

- Owner of Japan's No.1 green-tea brand (Oi Ocha), a profitable Tully's chain and a global matcha tailwind earns a 4% operating margin and 2% ROE vs ~9% peer margins; 5Y TSR −53% vs beverage peers +13% and TOPIX TR +129%.
- A non-voting preferred line (27% of economic shares) trades at a 43% discount to the common despite a 1:1 change-of-control exchange — ~¥40bn of value left on the table to entrench family control.
- Family governance shows in the numbers: four Honjo directors, a 17-year CEO, related-party dealings and a loss-making vending network kept far too long.

Most actionable changes

1. Collapse the preferred discount: tender for ~15m preferred at ~¥2,000 (¥30bn, debt-funded, ND/EBITDA <1x), capturing ~¥18bn of value; then a voluntary exchange of the rest into common.
2. 6% operating margin by FY4/28 (+¥10bn EBIT, ~¥95bn of value): exit or JV the ITO EN NEOS vending business (−¥2.7bn OP plan) with CCBJI/DyDo/Asahi; cut SG&A (31% of sales).
3. Strategic review of Tully's Japan (IPO/sale at 10–12x EBITDA) and subscale US units; unwind related-party dealings; cut family board seats from four to two.

Ease of winning top-shareholder support

Low — Family ~30% of votes plus ~14% friendly corporates; perk-driven retail 37%; foreign only 13.7%; preferred holders — the main beneficiaries — cannot vote. Best run as private engagement plus a preferred-line position rather than a proxy fight.

Likely company defence

Structural reforms (NEOS, outsourced manufacturing) and the 2029 plan are in place; tea-cost spike is temporary; preferred terms are fixed in the articles and need a class vote; the balance sheet is not over-capitalised.

Activist angles

- **[Capital allocation]** Buy back/exchange preferred at the discount; ROE ≥8% by FY4/28
- **[Portfolio simplification]** Exit/JV vending; review Tully's and US units
- **[Governance]** Related-party clean-up; fewer family directors; ROE-linked pay
- **[M&A]** Own the preferred as a cheap option on a family MBO — 1:1 exchange clause

Governance and recent events

13 directors, 5 outside (38%, est.); four Honjo family members on the board; CEO Daisuke Honjo since 2009 (~17 years). Related-party dealings with Green Core-owned golf club and ryokan. Non-voting class-1 preferred pays ~125% of the common dividend and converts 1:1 on a >50% TOB or delisting. FY4/26: ¥13.8bn vending impairment; NI −76%. 2029 plan targets 8% OPM and 10% ROE.

9 · Ezaki Glico (2206 JT) Food products (confectionery, dairy) **Conviction: Medium (crowded)**

Price ¥5,069 · Mkt cap ¥310.8bn (US$1.97bn) · EV ¥260.6bn (US$1.65bn) · LTM sales ¥377.3bn, EBIT ¥10.1bn, EBITDA ¥29.6bn · Net cash ¥50.8bn + investment securities ¥61.5bn (Jun-26) · FY26 OP guide cut to ¥12.0bn (Aug-26)

Crowded: Dalton Investments / Nippon Active Value Fund hold ~10.3% (Aug-25 filing; ~11.5% of current shares) and have tabled proposals at the 2024, 2025 and 2026 AGMs. Lags TOPIX TR by 95pp over 5Y but is roughly in line with weak confectionery peers.

Total shareholder return (JPY, dividends included)

TSR	1Y	3Y	5Y
Ezaki Glico	**+4.3%**	**+30.1%**	**+34.1%**
Sector median	+4.1%	+10.1%	+29.5%
TOPIX TR	+33.9%	+89.7%	+128.7%

Peers: Morinaga & Co, Meiji HD, Calbee, Kameda Seika (est.).

Valuation, margins and leverage (LTM) vs peer median

Metric	Ezaki	Peer median
EV/Sales	0.69x	0.98x
EV/EBIT	25.9x	13.1x
EV/EBITDA	8.8x	7.6x
P/E	49.6x LTM / 34.5x fwd	20.6x
FCF yield	5.9%	3.4%
P/B	1.15x	1.45x
EBIT margin	2.7%	8.1%
EBITDA margin	7.9%	13.1%
ROE	2.3% (target 6–8%)	6.9%
Net debt/EBITDA	−1.72x (net cash)	+0.42x
Net cash + securities / mkt cap	36% (40% incl. property)	~0%

Top 5 shareholders

Holder	%
Master Trust Bank of Japan (trust)	11.1%
Kikusen Shoji (likely Ezaki family vehicle)	6.5%
Daido Life Insurance	5.5%
State Street Bank & Trust 505223	3.9%
JA Saga (agricultural co-op)	3.1%

Register 31-Dec-25. Beneficial: Dalton group 10.3% (Aug-25); MFS cut below 5% (Jul-26). Friendly bloc ~21% (family-linked ~7%, Daido Life, JA Saga, Glico Kyoei-kai 2.8%, DNP 2.6%). Mix: foreign 30%, financial institutions 28%, individuals ~19%, corporates 16%.

What an activist would say

- Iconic brands (Pocky, Pretz) and a 10%-margin, fast-growing China/Asia business sit on a broken Japan business: ~¥275bn of domestic sales earn <1% and dairy loses ¥5–7bn a year; group EBIT margin 2.7% vs 8.1% for peers, ROE 2.3%.
- A record that would not survive an independent board: a ¥34bn ERP project that stopped chilled shipments for seven months, a 2025 recall, and OP >40% below the board's own pay targets two years running — with an 85-year-old Representative Chairman setting director pay.
- Over a third of the market cap is idle: ¥112bn of net cash and investment securities (36%) inside a company earning a 2–3% ROE.

Most actionable changes

1. Exit, sell or JV chilled dairy and infant formula and reset domestic SG&A/logistics to pre-ERP levels — removing the dairy loss alone adds ¥5–7bn of OP (+45–60% on FY26e); target a 6–8% EBIT margin by FY28.
2. Return ~¥50bn beyond the remaining ¥11.6bn programme (~16% of mkt cap) via tender/ASR, funded by selling the ¥61.5bn securities book and ¥12bn of investment property; cancel 7.2m treasury shares; 60% payout or DOE floor.
3. Independent chair (chairman steps down as Representative Director), outside-majority nomination/pay committee, separate disclosure of the overseas business to support a sum-of-the-parts.

Ease of winning top-shareholder support

Medium — 30% foreign; Dalton's 2024 articles proposal won 42.9% and the company has conceded twice. Against: ~21% friendly bloc, ~19% brand-loyal retail, Dalton's 2026 nominees lost. Enter only with a differentiated operating thesis (dairy exit, ERP accountability) or as price-setter in an eventual MBO — not as a second capital-return voice.

Likely company defence

Execution on track (FY26e OP +37%, China growth, ¥25bn buyback done); Dalton's ideas are short-term financial engineering; securities are 'strategic'; dairy is recovering. Tail risk: a family-led MBO on the company's terms (Hisamitsu ¥6,082 MBO precedent).

Activist angles

- **[Portfolio simplification]** Exit/partner dairy and infant formula; consider ring-fencing the overseas growth business
- **[Capital allocation]** ¥50bn+ return funded by the securities book; cancel treasury shares
- **[Governance]** Independent chair; accountability for the ERP and recall failures
- **[M&A]** Fair-price take-private with majority-of-minority protection (peer-margin value ~¥7,000–7,400/share)

Governance and recent events

8 directors, 4 outside (50%); kansayaku structure. Representative Chairman Katsuhisa Ezaki (85; President 1982–2022) still sets individual director pay; his son Etsuro President since 2022. 2024 SAP S/4HANA go-live halted chilled/dairy shipments for ~7 months (¥6.4bn direct loss; ~¥34bn project); 2025 chocolate recall; OP missed the board's own pay targets by >40% in FY24 and FY25. Dalton proposals all defeated (2024 articles item won 42.9%; 2026 board nominees lost), but the company conceded AGM dividend rights (2025) and a ¥25bn / 7.2% buyback (Feb-26).

10 · Santen Pharmaceutical (4536 JT) Pharmaceuticals (ophthalmology) **Conviction: Medium–Low**

Price ¥1,699.5 · Mkt cap ¥545.9bn (US$3.47bn) · EV ¥499.7bn (US$3.17bn) · LTM revenue ¥291.8bn, EBIT ¥46.8bn, EBITDA ¥65.3bn · Net cash ¥46.1bn (Mar-26) · FY3/27 core OP guide ¥59bn

Screen note: Santen beats a weak domestic pharma peer group and earns above-peer margins — it qualifies on TOPIX underperformance (−102pp over 5Y) and capital-allocation record, not on sector-relative TSR.

Total shareholder return (JPY, dividends included)

TSR	1Y	3Y	5Y
Santen	**+14.6%**	**+36.2%**	**+26.9%**
Sector median	+9.6%	+4.3%	+10.1%
TOPIX TR	+33.9%	+89.7%	+128.7%

Peers: Rohto, Nippon Shinyaku, Kaken, Kissei, Mochida.

Valuation, margins and leverage (LTM) vs peer median

Metric	Santen	Peer median
EV/Sales	1.71x	1.02x
EV/EBIT	10.7x	8.7x
EV/EBITDA	7.6x	6.6x
P/E	14.1x	12.2x
FCF yield	6.4%	−4.0%
P/B	1.82x	0.80x
EBIT margin	16.0% (core ~19%)	11.3%
EBITDA margin	22.4%	15.3%
ROE	12.9% (target >14%)	6.7%
Net debt/EBITDA	−0.71x (net cash)	−1.67x
Net cash + financial assets / mkt cap	15%	61%

Top 5 shareholders

Holder	%
Master Trust Bank of Japan (trust)	17.4%
Custody Bank of Japan (trust)	5.7%
Northern Trust re Silchester Intl Value Equity Trust	3.8%
Nippon Life Insurance	3.3%
Northern Trust re US tax-exempt pension funds	2.5%

Register 30-Sep-25. Beneficial: Silchester International Investors 8.6% (long-only value). Government of Norway 2.5%, MUFG Bank 2.2%, Ono Pharmaceutical 1.9% (strategic). Foreign ~50% (approx.); no family or corporate bloc; stable holders only ~7–8%.

What an activist would say

- Asia's ophthalmology leader is priced like a generic-exposed domestic drugmaker: 7.6x EBITDA, 8.5x FY27e core OP and a 6.4% FCF yield; 5Y TSR +27% vs TOPIX TR +129%.
- A decade of value-destroying capital allocation — ~¥84bn of impairments in five years (InnFocus, Eyevance, China plant) and a failed US entry — yet management again ranks business development ahead of buybacks.
- The Japan base is about to lose its biggest product (EYLEA, ~19% of revenue) while the ¥400bn FY3/30 target needs ~9% annual growth: test the standalone plan against a sale now, while EBITDA is near its peak.

Most actionable changes

1. ~¥100bn tender or ASR (~18% of mkt cap) funded by net cash, ¥33.7bn of financial assets and debt to ~1.0x ND/EBITDA; hard business-development hurdle (disclosed IRR/ROIC, cap of ~1x EBITDA a year).
2. Strategic review with independent advisers: sale or PE take-private (~10x EBITDA; ¥2,100–2,400/share at a 25–40% premium); partner or divest subscale China (¥30bn, flat) and EMEA if they do not earn their cost of capital.
3. Freeze the planned +12% SG&A step-up (each 2pp of sales ≈ ¥6bn EBIT); move long-term incentives to relative TSR and ROIC rather than revenue.

Ease of winning top-shareholder support

Medium–High — ~50% foreign, no family or corporate bloc, stable holders only ~7–8%; Silchester (8.6%) backs capital-efficiency asks; 57%-independent board. But above-peer margins and recent buybacks make it look 'reasonably run' — frame as strategy and capital allocation, not governance failure.

Likely company defence

The plan is working (core OP beat; growth resumes in FY27 with myopia, ptosis and Rhopressa launches); ¥70bn of buybacks in two years; business development is essential to replace EYLEA; leverage is inappropriate given patent and price-cut risk.

Activist angles

- **[Capital allocation]** ¥100bn tender using ~¥111bn of debt capacity; BD hurdle-rate framework
- **[M&A]** Strategic review incl. sale/PE take-private (Hisamitsu, Taisho MBO precedents)
- **[Portfolio simplification]** Partner or exit subscale China/EMEA; out-license non-core pipeline
- **[Governance]** TSR/ROIC-linked pay; post-mortem disclosure of the US losses

Governance and recent events

7 directors, 4 independent (57%) after the Jun-26 AGM; voluntary nomination/pay committees chaired by outsiders. CEO Takeshi Ito since 2022. No family, parent or takeover defence; no activist on the register. ~¥84bn of impairments FY3/21–25 (InnFocus MicroShunt ¥40bn, Eyevance ¥35bn, China plant, myopia asset); US operations exited 2023. ¥70bn of buybacks FY3/25–26 but none announced in May-26 (business development prioritised). EYLEA (Bayer licence, ~19% of revenue) faces biosimilars and an authorised generic.

Methodology, data caveats and sources

- **Prices and market caps:** ProntoNLP daily closes on 13-Oct-26; shares ex-treasury from the latest Capital IQ quarter. USDJPY 157.5.
- **Financials:** S&P Capital IQ, LTM to Jun-26 (Mar/Apr/Jul-26 for some fiscal year-ends). EV = mkt cap + net debt (Capital IQ definition, incl. leases; negative = net cash) + book minorities. FCF = CFO − capex (fiscal year where LTM cash flow is unavailable).
- **TSR:** Pronto price series are split- and dividend-adjusted up to a company-specific date in late 2024 (Dec-25 for Mabuchi) and unadjusted thereafter. TSR = (end price + dividends with ex-dates after that date) ÷ adjusted start price − 1, verified against known unadjusted closes and buyback execution prices. Windows start 13-Oct-21, 13-Oct-23 and 14-Oct-25 and end 13-Oct-26. Undeclared Sep-26 interims estimated. A few peers use USD ADR lines converted at historical USDJPY (flagged est.).
- **Benchmark:** TOPIX Total Return to 30-Sep-26 (BlackRock iShares Core TOPIX ETF factsheet): 1Y +33.9%, 3Y +89.7% cumulative (+23.8% p.a.), 5Y +128.7% (+18.0% p.a.). Note the ~2-week window mismatch vs company TSRs.
- **Sector medians:** 3–6 listed Japanese peers per company, named on each page; same TSR and multiple methodology.
- **Shareholders:** Annual securities report (yuho) registers where available, otherwise aggregators (kabutore, finboard, IR Bank). Master Trust / Custody Bank are trust-bank nominee accounts, not beneficial owners; beneficial stakes are from EDINET large-holding (5%) reports.
- **Caveats:** Items marked est./approx. are estimates or secondary-source figures; several AGM approval rates were not retrievable; scenario maths (buyback accretion, margin-uplift values, disposal proceeds) is illustrative. This is a research screen, not investment advice.

Key sources

- S&P Capital IQ (via S&P Global MCP): LTM income statement, balance sheet, cash flow, shares, DPS for all companies and peers (doc-viewer references retained in the research notes).
- ProntoNLP: daily price series and market caps; Japanese annual securities reports (yuho), tanshin, integrated reports and earnings-call transcripts (shareholder registers, segment data, guidance, management commentary).
- EDINET / JPX TDnet: large-shareholding (5%) reports, extraordinary reports with AGM vote results, buyback and TOB notices.
- Market and press: BlackRock iShares Core TOPIX ETF factsheet (TOPIX TR); Nikkei, Bloomberg, Kabutan, Matsui, Nihon M&A Center, FilingReader, MarketScreener, the-shashi, edinetdb, kabutore, finboard.